

Palantir Technologies Inc.

PLTR NYSE

Hold	\$185.93 ▲ 4.75%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$446.80B
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PLTR: Pentagon AI Business Nears \$1B, Stock Rips 4.75%

WHAT HAPPENED

- PLTR jumped 4.75% to \$185.93 on news that its Pentagon AI business is closing in on \$1 billion in annual revenue — that's a huge validation number because it proves the "AI for government" thesis isn't hype, it's a real, scaling business line.
- Peter Thiel (Palantir co-founder) was in the news buying another AI stock, which keeps PLTR in the AI narrative headlines, and unusual call option buying at the \$185-\$190 strikes suggests traders are betting on more upside into September.

WHY IT MATTERS

The \$1B Pentagon run-rate is the story here — it means PLTR is no longer just a "cool software company for spies," it's becoming critical infrastructure for how the U.S. military uses AI. That matters because defense contracts are sticky (once you're embedded, you don't get ripped out), high-margin, and largely recession-proof. But here's the flip side: at \$446B market cap and roughly 90x revenue, the stock is already pricing in years of flawless execution — so a single quarter of decelerating growth could trigger a 20-30% drawdown fast. The insider selling cluster from Buckley is worth noting — not a red flag on its own, but it's the second signal (after the valuation) that people close to the company are taking chips off the table at these levels.

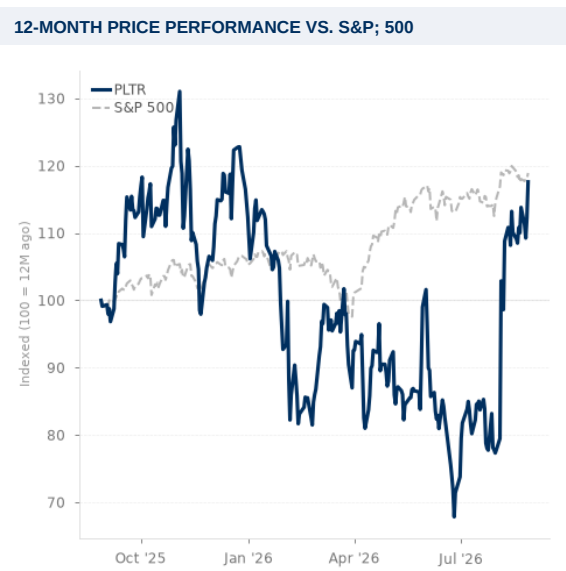
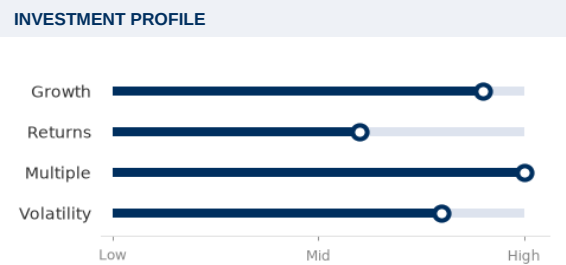
POLICY & POLITICAL WATCH

The FY2027 defense budget negotiations are the single biggest political variable for PLTR right now — the administration has been pushing for expanded AI and autonomy funding, and if the National Defense Authorization Act (NDAA) preserves or expands the AI/JADC2 (the military's "connect everything" initiative) line items, PLTR is a direct beneficiary. There's also the ongoing federal push to consolidate legacy IT systems under AI-native platforms (executive orders on federal AI adoption from earlier this year), which basically writes PLTR's sales pitch for them. Watch for any Congressional pushback on sole-source or large no-bid AI contracts — that would be the one policy headwind that could cap the government growth story.

IS IT EXPENSIVE?

This stock is priced for perfection — investors are paying roughly \$90 for every \$1 of revenue, compared to maybe \$15-20 for other high-growth software names. Even if you believe PLTR triples revenue over the next 3-4 years, the math only works if margins keep expanding AND growth stays above 30%. Translation: the business is world-class, but the price already reflects that — you're not getting a bargain here, you're paying up for quality and betting the momentum continues.

Key Data	
Price (USD)	\$185.93
12M Price Target	\$195.00
Upside / (Downside)	+4.9%
Market Cap	\$446.80B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$0.98
Fwd P/E	258.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$205.00	\$188.00	\$165.00
6 Months	\$240.00	\$200.00	\$150.00
1 Year	\$275.00	\$195.00	\$130.00
2 Years	\$350.00	\$240.00	\$120.00
5 Years	\$500.00	\$320.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.16% today) — AI names are ripping again on the Fed narrative (new Chair Warsh is seen as market-friendly) and continued federal AI spending momentum. Defense-tech is a specific pocket of strength given the budget backdrop.

COOLING OFF: Energy, Utilities, Materials — classic "risk-on rotation" where money is leaving defensive and commodity plays to chase growth. Industrials also weak, suggesting the market isn't buying a broad economic reacceleration — just an AI/tech-specific melt-up.

ROTATION WATCH: Money is aggressively rotating INTO AI, defense-tech, and high-beta growth on hopes of a dovish Fed pivot. That's a direct tailwind for PLTR since it sits at the intersection of AI + defense + growth.

RELATED PLAY: If PLTR keeps running, look at the "picks and shovels" — data center REITs, power infrastructure names, and cybersecurity plays like CRWD or S. Also, defense-tech peers like AXON and KTOS ride the same policy wave.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Ripping again on AI demand and being the pick-and-shovel for every AI buildout — same tailwinds pushing PLTR.
- ORCL (Oracle): Highlighted in overnight coverage as an AI/cloud beneficiary with rising enterprise credit demand — the enterprise AI spending cycle is real and broadening.

PLTR CONTEXT: PLTR is leading its peer group today (+4.75% vs Tech ETF +3.16%), which tells you it's the preferred way for money managers to express the "government AI" trade. That leadership is bullish short-term but also means PLTR gets hit hardest if AI sentiment turns — it's the highest-beta way to play this theme.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$155-165 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Two consecutive quarters of decelerating government revenue growth or a defense budget cut

Hedging: Buy protective puts or pair with a short position in a lower-quality AI name